demand? That is, how much do you have to see before you will commit yourself?

The analyst really wants to be right, his ego needs the pleasure of being right, and he would almost rather be right than make money.

Again the analyst is building inductively, but the real gunslinger of a portfolio manager can't stand second thoughts. He bounces with the stimulus, is enthusiastic, almost overresponds. The analyst really wants to be right, his ego needs the pleasure of being right, and he would almost rather be right than make money. The aggressive portfolio manager doesn't really care about being right on each judgment, as long as he wins when you tot up the score. He has to be right more than wrong, naturally, but he tends to go in white-hot streaks and hope that his decisions add up more right—and so weighted—than wrong. What he is really doing is testing—quickly and unconsciously—each stimulus against the "apperceptive mass" of his own intuition, his intuition including all the "cognitive perception" he has used for years.

This portrait of an aggressive portfolio manager is not one that will make ancient trustees in paneled board rooms feel secure. But, as we have said, there are not many such; the portrait is really of a handful of hedge fund and mutual-fund managers, not that of trust officers or the managers of large institutions.

These performance-oriented managers are new enough that their game is still on trial, but they have already weathered some of the bumps. What distinguishes this kind of investing—the quick reaction to the information—from that of the small investor who hears a tip and rushes out and buys? The small investor has the reaction without the